INVESTMENT IDEA 2 – SOFI TECHNOLOGIES

SoFi

INDUSTRY OVERVIEW

SoFi: Digital Banking Revolution

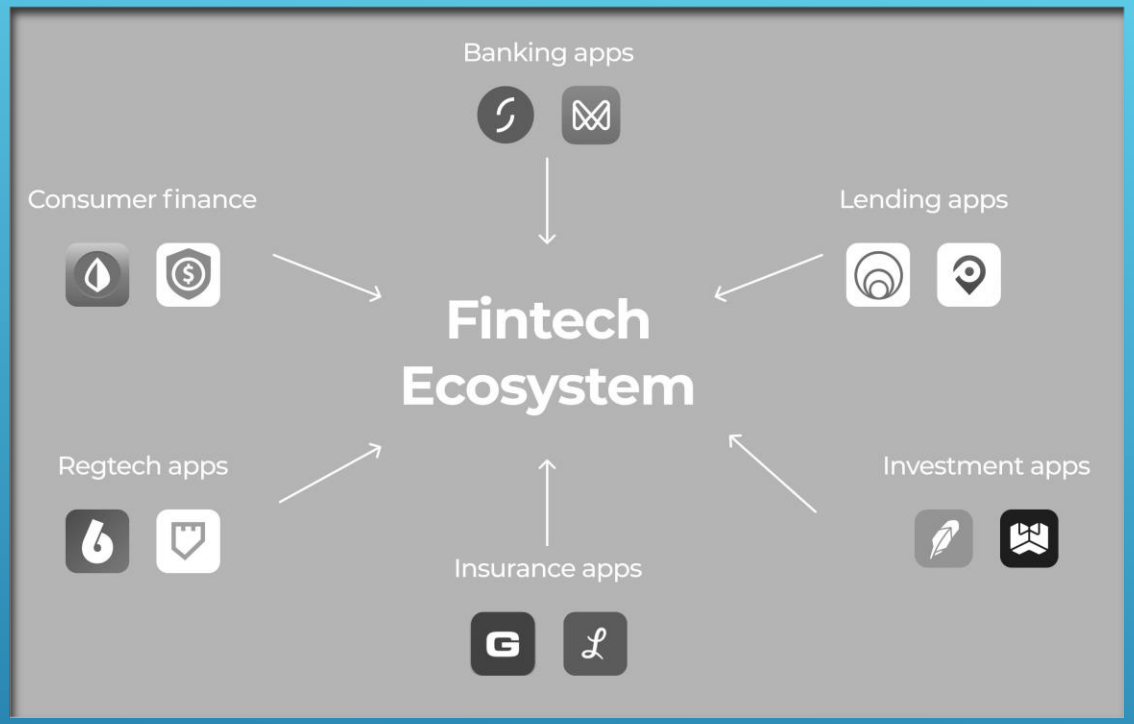
- Disrupting Traditional Finance
- Mobile-First User Experience
- Integrated Financial Services (Investing, Loans, Banking)

COMPANY OVERVIEW

SoFi

- Founded: 2011
- CEO: Anthony Noto
- Core Focus: Fintech Platform

NYSE (2021)



- **Lending segment** (student, personal, home loans)
- **Financial services** (investing, credit cards, crypto)
- **>Technology platform (Galileo)** – B2B services to other fintechs
- **Revenue from:**
- Interest income
- Fees & subscriptions
- Platform services

BUSINESS MODEL

- Increasing shift to **digital banking**
- Rising adoption by **Gen Z & millennials**
- Cross-selling within ecosystem
- Expansion of **SoFi Bank (deposits & lower funding cost)**
- Growth of **Galileo platform**

GROWTH DRIVERS

- SoFi: 30%+ growth, nearing profitability
- Rapid increase in **customer base (members growth)**
- Diversified revenue from **lending, financial services & technology (Galileo)**
- Rising **deposits**, reducing funding costs
- Company **nearing profitability** with improving income

FINANCIAL PERFORMANCE

KEY RATIOS

Debt-to-Equity Ratio: ~0.9 – 1.1
Shows **moderate leverage (not too risky)**

Net Interest Margin (NIM): ~5.5%
Indicates **strong earnings from loans**

Return on Equity (ROE): ~(-6%)
Negative but **improving trend**

Return on Assets (ROA): ~(-1%)
Low, but expected in growth stage

Net Profit Margin: ~(-6% to -8%)
Losses are **reducing over time**

Cost-to-Income Ratio: ~70%
Still high, but **gradually improving**

Revenue Growth Rate: ~30%+
Very strong industry

COMPETITIVE ADVANTAGE

- All-in-one financial ecosystem
- Strong **technology backbone (Galileo)**
- **Low-cost funding** via SoFi Bank
- High **customer engagement & cross-selling**
- Digital-first, no physical branches

SOFI – KEY RISKS

- **Interest Rate Sensitivity**
  When interest rates go up, people tend to borrow less, which can affect SoFi's earnings
- **Regulatory Risk**
  Since finance is tightly regulated, any new rules or policy changes can impact how SoFi operates
- **Competition**
  SoFi faces strong competition from both traditional banks and other fintech companies
- **Credit Risk**
  There's always a chance that some borrowers may not repay their loans, especially during tough economic times

CONCLUSION

- Strong **30%+ revenue growth** with expanding customer base
- **Diversified business model** (lending + financial services + Galileo platform)
- **Low-cost funding advantage** via SoFi Bank
- Positioned as a **digital disruptor in traditional banking**
- **Moderate risk** (regulation, credit risk, competition)
- Attractive for **long-term, stable growth investors**